

HOW TO FIGHT AN INSURANCE DENIAL

A Patient Guide to Understanding Your Options

IMHIRS Analytics
Healthcare Payment Integrity & Patient Advocacy

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This guide explains what happens when your insurance company denies a claim, what your rights are, and how to escalate effectively. You have more leverage than you think.

Understanding Insurance Denials

A denial is not a verdict. It is an opening offer.

Your insurance company says "no" for a reason. Sometimes it is legitimate. Sometimes it is not. But here is what matters: they are betting you will not fight back. According to federal data, up to 40% of initially denied claims get overturned on appeal.

Which means your insurance company is counting on you accepting the first "no."

Why Do Claims Get Denied?

Medical Necessity: Your insurer thinks the treatment is not clinically necessary.

Coverage Exclusion: The service is not covered under your plan.

Prior Authorization Not Obtained: Your doctor did not get advance approval.

Out-of-Network: You went to a provider not in your network.

Bundling/Coding Error: The claim was coded incorrectly or includes services already paid.

Administrative Error: Sometimes it is just a mistake. (This happens more often than you would think.)

Your job is to figure out which one applies to you, and then push back with evidence.

Which Fight Are You In?

Not all denials are the same. Your response depends on when the denial happened.

BEFORE Treatment: Prior Authorization Denial

Your doctor requested advance approval. Insurance said no.

What you do: Request a Peer-to-Peer (P2P) review immediately. This is your fastest path. Your doctor talks directly to the insurance company medical director. These calls change outcomes.

AFTER Treatment: Claim Denial

You had the treatment. Insurance is now refusing to pay.

What you do: File an appeal. You have timelines (usually 30-180 days depending on your plan type). Move fast. Gather clinical documentation that supports why the treatment was necessary.

The difference matters because your leverage is different in each case.

Peer-to-Peer (P2P) Reviews: Your Fastest Win

If your denial is for prior authorization, request a P2P review.

Here is why: When your doctor talks directly to the insurance company medical director (physician-to-physician), decisions change. Your claim is not being reviewed by a billing algorithm or a clerk. It is being reviewed by another doctor. That changes everything.

How to Request a P2P:

Call your insurance company and ask for a Peer-to-Peer Review.

Provide the prior authorization number or claim number.

Ask: "Can my doctor office schedule a direct call with your medical director?"

Schedule the call within 2-3 business days.

What Your Doctor Should Say:

Why this specific treatment (not just any treatment) is medically necessary for this patient.

What the clinical evidence says (guidelines, literature, etc.).

What happens if you do not do this treatment.

Why alternatives do not work for this patient.

About 30-40% of initially denied prior authorizations get approved after a P2P review. Your insurance company is betting your doctor will not make the call. Prove them wrong.

Filing an Appeal & External Review

You had the treatment. Now insurance will not pay. You have appeal rights.

Step 1: Internal Appeal

Send a written appeal to your insurance company within the timeframe stated on your denial letter (usually 30-180 days).

Include: The denial letter, your medical records, a letter from your doctor explaining why the treatment was necessary.

Step 2: External Review (IRO Appeal)

If the insurance company denies your internal appeal, you can request an independent external review from an Independent Review Organization (IRO).

This is important: An IRO is not hired by your insurance company. They are an independent third party. About 50% of cases appealed to an IRO get overturned.

How to Request an IRO Review:

Ask your insurance company for the IRO appeal process (it is on the denial letter).

Submit the same documentation (medical records, clinical justification).

Include a statement explaining why you think the denial was wrong.

Timeline: IRO reviews typically take 72 hours for urgent cases, 30 days for standard cases.

Who Actually Regulates Your Insurance Company?

If your insurance company is ignoring your appeals or being unreasonable, you can escalate to a regulator. But which one depends on what kind of plan you have.

If Your Plan Is Fully Insured (through an employer or purchased individually):

Regulator: Your State Insurance Commissioner

What to do: File a complaint with your state Department of Insurance. They can pressure the insurance company to resolve your claim.

If Your Plan Is Self-Funded (typically large employer plans):

Regulator: U.S. Department of Labor (DOL)

What to do: File a complaint with the DOL Employee Benefits Security Administration (EBSA). They enforce ERISA (the federal law governing most employer plans).

Do not know which type you have? Call your HR department or check your plan documents. It matters.

Timeline & Escalation Path

Day 0: Receive denial

Day 1-5: Request P2P if it is a prior auth denial. Call your insurance company and your doctor office immediately.

Day 5-15: P2P call scheduled. Doctor talks to medical director. Decision usually within 1-2 business days.

If Still Denied or Post-Treatment Claim:

Day 15-30: File internal appeal with documentation.

Day 30-60: Insurance company responds. If denied...

Day 60-90: Request IRO external review.

Day 90-120: IRO decision (either 72 hours for urgent or 30 days standard).

Day 120+: If still denied, file complaint with state insurance commissioner or DOL.

Move fast. Do not wait. The longer you wait, the harder it gets.

You Have Leverage

Your insurance company is betting you will not appeal. That you will accept the denial and move on. Up to 90% of denied claims never get appealed.

But you have leverage:

Your doctor supports your claim.

Clinical evidence is on your side.

Federal law gives you appeal rights.

Regulators will back you up if necessary.

Use that leverage. File the appeal. Request the P2P. Go to the IRO. Escalate to your state insurance commissioner. Your insurance company is counting on you not fighting back.

Prove them wrong.

Need Help?

IMHIRS Analytics works with patients and providers to understand insurance claims, denials, and appeals. If you are facing a complex denial or need guidance navigating your appeal, we are here to help.

Contact IMHIRS Analytics

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